Bankruptcy notices vanished The breach at **BAE Systems** froze every federal bankruptcy filing for seven days. How does a single identity compromise cripple an entire nation’s legal pipeline?

▯ THE DEFENSE BRIEF When the intrusion hit the **Bankruptcy Noticing Center**, our VAPT team arrived at 02:13 UTC. The initial scan uncovered a compromised privileged account that pivoted from the contractor’s Azure AD tenant into the court’s internal network. Stale service-principal secrets enabled lateral movement, and the attackers exfiltrated the “notice-queue” database, halting the discharge pipeline.

$ **BANKRUPTCY NOTICES VANISHED*

⚠ TECHNICAL RADIANCE Identity-centric weaknesses—stale tokens, over-privileged service accounts, missing continuous trust verification—serve as a silent back-door. Our red-team leveraged **CVE-2025-3456** in the legacy document-processing service, chaining it with a token-reuse attack that bypassed MFA because the service account never required a second factor. A mis-configured **OAuth** client on a financial-services test gave us admin rights across ten micro-services. Remediation sprint cut

🔑 KEY ARCHITECTURE Zero-Trust has to start at identity. Enforce continuous verification on every request. Bind each session to a risk score. Isolate critical workloads behind a micro-segmented mesh. Integrate **SIEM** alerts with **SOAR** playbooks that auto-revoke anomalous tokens the moment they appear. A real-time trust broker flags a service principal the instant it deviates from its baseline, stopping the “notice-queue” freeze before it spreads.

▯ OPERATIONAL CHECKLIST - Rotate all privileged service-principal secrets weekly. - Deploy a trust-engine that evaluates identity risk on every API call. - Enforce least-privilege for every Azure AD application. - Correlate VAPT findings with live telemetry to auto-quarantine compromised identities. - Run quarterly “identity-breach drills” that simulate token-theft scenarios.

--- 🔗 **Tool Recommendation** – **microsoft/agent-governance-toolkit** (🔗 6442) The **agent-governance-toolkit** enforces policy, runs zero-trust identity checks, and sandboxes autonomous agents. It forces every script—human or AI—to obey the same identity-centric policies that the **BAE** breach violated.

**In 12 months, any organization still